



NEED TO KNOW

- › **Spin-off** New company formed as the result of a divestiture; also called a hive-off
- › **Tracking stock** Special type of shares issued by a parent company for the division or subsidiary they will sell; tracking stock is tied to the performance of the specific division rather than the company as a whole; also known as targeted stock
- › **Letter of intent** Letter stating serious intention to do business, often concerning M and A
- › **Reverse merger** Not to be confused with a divestiture, this is a quick and cheap method for a private company to go public by buying a shell stock—a public company that is no longer operating because it went bankrupt or was simply closed.
- › **Demerger** Term commonly used in the UK for divestiture

52%
the potential
rise in a parent
company's
share price
following a
divestiture

The shareholders benefit

Shareholders in the original company also receive the same percentage holding in shares from the three new companies.

